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## Law – 541: Private International Law (Paper – VI) 5<sup>th</sup> Semester (Syllabus)

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### UNIT – I

#### Meaning, Definition, Nature, Scope and Importance of Private International Law

#### Introduction

In the modern world, individuals and companies frequently enter into relationships and transactions that involve more than one country. For example, a contract may be made in one country and performed in another, a marriage may take place in a foreign country, or a dispute may arise between persons belonging to different countries.

In such cases, an important question arises: **Which country's law will apply, and which court will have jurisdiction?**

Private International Law provides the rules for dealing with such legal problems.

#### ➤ **Meaning of Private International Law**

**Private International Law** is that branch of law which deals with legal disputes involving a **foreign or international element**.

It determines:

#### 1. Which court has jurisdiction to decide the dispute;

2. Which country's law is applicable; and
3. Under what conditions a foreign judgment may be recognized and enforced.

Thus, Private International Law does not generally decide the substantive rights of the parties directly. Instead, it determines the appropriate legal system or law applicable to a dispute containing a foreign element.

### Example

Suppose an Indian citizen enters into a contract with a person living in England, and the contract is to be performed in France. If a dispute arises, questions may arise regarding:

- Which court has jurisdiction?
- Whether Indian, English or French law will apply?
- Whether a judgment given in one country can be enforced in another?

Such questions are dealt with under **Private International Law**.

### ➤ Definitions of Private International Law

Different jurists have explained Private International Law in different ways.

According to **Dicey**, Private International Law is concerned with cases containing a foreign element and determines the circumstances in which foreign law should be applied and foreign judgments should be recognized.

According to **Cheshire**, it deals with the rules which determine the law applicable to cases involving a foreign element.

### Simple Definition:

**The branch of law which regulates private legal relationships involving a foreign element by determining jurisdiction, applicable law and recognition of foreign judgments.**

### ➤ Nature of Private International Law

The following are the main characteristics of Private International Law:

#### 1. It Deals with Private Legal Relationships

It mainly concerns disputes between private individuals, companies or other private legal entities.

Examples include:

- International contracts;
- Marriage and divorce;
- Succession and inheritance;
- Property disputes; and
- Commercial transactions.

#### 2. Presence of a Foreign Element

A dispute must contain some connection with a foreign country.

The foreign element may arise because of:

- Nationality of a party;
- Domicile or residence;
- Place where a contract was made;
- Place of performance;

- Location of property; or
- Place where a legal act or wrong occurred.

### 3. It is Mainly a Part of Domestic Law

Despite its international nature, Private International Law is generally administered through the **domestic legal system of each country**.

Therefore, different countries may follow different conflict-of-law rules.

### 4. It is Procedural as well as Substantive in Effect

Private International Law determines procedural questions such as jurisdiction, but it may also determine which substantive law is applicable to the dispute.

#### ➤ **Scope of Private International Law**

The scope of Private International Law mainly covers the following areas:

#### **(i) Jurisdiction**

It determines whether a particular court has the authority to hear and decide a dispute involving a foreign element.

#### **(ii) Choice of Law**

It determines which country's law should govern the dispute.

For example, an Indian court may have jurisdiction over a dispute but may, according to the applicable conflict rules, be required to consider a foreign law.

#### **(iii) Recognition and Enforcement of Foreign Judgments**

Private International Law also deals with the circumstances under which a judgment of a foreign court may be recognized and enforced.

#### **(iv) Recognition of Foreign Legal Status**

It may deal with the recognition of legal relationships or status created under foreign law, such as marriage, divorce, adoption and succession, subject to domestic law and public policy.

### **Importance of Private International Law**

Private International Law has become increasingly important because of:

#### **1. Growth of International Trade**

International business transactions frequently involve parties and legal systems from different countries.

#### **2. Increased Movement of People**

People travel, work, marry, acquire property and conduct business in foreign countries.

#### **3. Globalisation**

Globalisation has increased international commercial, social and legal relationships.

#### **4. Legal Certainty**

Conflict-of-law rules help determine the appropriate court and applicable law, thereby reducing uncertainty.

#### **5. Recognition of Foreign Rights and Judgments**

It facilitates the recognition of legal rights and judgments created in other countries, subject to the law of the forum.

### **Names of the Subject: "Private International Law", "Conflict of Laws" and Other Names**

The subject is known by different names in different legal systems.

## 1. Private International Law

The term **Private International Law** is widely used, particularly in civil law countries and in many academic writings.

The term indicates that the subject deals with private legal relationships having an international or foreign element.

However, the word “**international**” may sometimes be misleading because the rules are generally part of the domestic law of the country where the court is situated.

## 2. Conflict of Laws

In countries following the common law tradition, especially England and the United States, the subject is often called “**Conflict of Laws.**”

The term refers to situations where a legal dispute is connected with more than one legal system and it becomes necessary to determine:

- The competent court; and
- The applicable law.

The expression “Conflict of Laws” does not mean that laws literally fight with each other. It means that there is a question regarding **which legal system should govern the particular dispute.**

## 3. Other Names

Private International Law has also been described by expressions such as:

- **International Private Law;**
- **Conflict of Jurisdiction;** and
- **Choice of Law.**

However, the most commonly used names are **Private International Law** and **Conflict of Laws.**

### **Distinction Between Private International Law and Public International Law**

Private International Law and Public International Law are different branches of law.

| <b>Basis</b>         | <b>Private International Law</b>                                             | <b>Public International Law</b>                                             |
|----------------------|------------------------------------------------------------------------------|-----------------------------------------------------------------------------|
| <b>Meaning</b>       | Deals with private disputes containing a foreign element                     | Deals with legal relations between States and international organizations   |
| <b>Main Parties</b>  | Individuals, companies and other private persons                             | States and international organizations                                      |
| <b>Main Purpose</b>  | Determines jurisdiction, applicable law and recognition of foreign judgments | Regulates rights and duties of States under international law               |
| <b>Source of Law</b> | Mainly domestic laws, judicial decisions and conflict rules                  | Treaties, international customs and general principles of international law |
| <b>Nature</b>        | Primarily part of the domestic law of a country                              | Primarily international in character                                        |
| <b>Example</b>       | Contract between parties from different countries                            | Treaty between two States                                                   |

### **Example**

A dispute between an Indian company and a foreign company regarding an international commercial contract may involve **Private International Law.**

On the other hand, a dispute between India and another State concerning treaty obligations or territorial rights would involve **Public International Law**.

## Conclusion

Private International Law is an important branch of law dealing with private disputes having a foreign element. Its three principal areas are **jurisdiction, choice of law and recognition and enforcement of foreign judgments**.

Although it is called “**Private International Law**” or “**Conflict of Laws**,” it mainly consists of rules used by domestic courts to resolve disputes connected with more than one legal system. With the growth of international trade, travel, migration and cross-border transactions, its importance has increased significantly.

## 2. CHARACTERIZATION / CLASSIFICATION AND ITS THEORIES

### Introduction

In a case involving a foreign element, more than one legal system may be connected with the dispute. Before applying any rule of Private International Law, the court must first determine the **nature or category of the legal issue** involved.

This process is known as **Characterization** or **Classification**.

For example, a dispute may relate to:

- Contract;
- Tort;
- Property;
- Succession;
- Marriage;
- Divorce; or
- Procedure.

The classification of the issue is important because different categories may be governed by different conflict-of-law rules.

### Meaning of Characterization

**Characterization** means the process by which a court determines the legal nature of a question before selecting the appropriate rule of Private International Law.

In simple words:

**Characterization is the classification of a legal issue into a particular legal category for the purpose of applying the appropriate conflict rule.**

### Example

Suppose a question arises regarding the limitation period applicable to a foreign claim. One legal system may treat limitation as a matter of **procedure**, while another may treat it as a matter of **substantive law**.

The classification adopted by the court may therefore affect which law will be applied.

### Importance of Characterization

Characterization is important because:

1. Different categories have different connecting factors;
2. It helps the court select the appropriate conflict-of-law rule;
3. Different countries may classify the same legal issue differently; and
4. The final result of a case may depend upon the classification adopted by the court.

For example, questions relating to **immovable property** are generally connected with the law of the place where the property is situated, while contractual questions may be governed by the law applicable to the contract.

## Theories of Characterization

### 1. Lex Fori Theory

According to the **Lex Fori Theory**, characterization should be made according to the law of the court where the case is being decided.

Thus, the court applies its own legal concepts and classifications.

#### Advantages

- Easy and convenient for the court;
- Provides certainty and uniformity within the forum;
- The court is familiar with its own legal system.

#### Disadvantage

The classification made by the forum may differ from the classification under the foreign law connected with the dispute.

### 2. Lex Causae Theory

According to the **Lex Causae Theory**, characterization should be made according to the law which governs the particular legal relationship or transaction.

This theory attempts to avoid the application of purely domestic concepts of the forum to an international dispute.

#### Difficulty

The major difficulty is that the court may first need to determine the applicable law before it can characterize the issue, while characterization itself is often necessary to determine the applicable law.

### 3. Comparative or Analytical Theory

According to this approach, the court should not rely entirely upon either the law of the forum or the foreign law.

Instead, the court should examine the legal issue independently and determine its proper international character by comparing different legal systems and considering the nature and purpose of the rule.

This approach is more flexible but may be difficult to apply in practice.

#### Important Case

#### **Raiffeisen Zentralbank Österreich AG v. Five Star General Trading LLC (2001)**

The case is important in understanding the difficulties involved in characterizing a legal issue in Private International Law. It demonstrates that classification may significantly affect the choice of the applicable law.

#### Conclusion

Characterization is an important preliminary process in Private International Law. The court must classify the legal issue before applying the appropriate conflict rule. The main theories include the **Lex Fori Theory**, **Lex Causae Theory** and **Comparative Theory**.

## 3. DOCTRINE OF RENVOI

### Introduction

The **Doctrine of Renvoi** is an important doctrine of Private International Law. It arises when the conflict-of-law rule of the forum refers a case to the law of a foreign country, and the conflict rules of that foreign country refer the matter back to the law of the forum or to the law of another country.

The word “**Renvoi**” is a French word meaning “**send back**” or “**reference back**.”

## Meaning of Renvoi

Suppose an English court is dealing with a dispute and, according to its conflict-of-law rules, decides that the law of Country X should apply.

The question then arises:

**Should the English court apply only the internal law of Country X, or should it also consider the conflict-of-law rules of Country X?**

If the conflict rules of Country X refer the matter back to English law, the problem of **Renvoi** arises.

### ➤ Types of Renvoi

#### 1. Single Renvoi or Remission

Single Renvoi occurs when the conflict rule of the forum refers the matter to a foreign legal system, and the foreign conflict rule refers the matter **back to the law of the forum**.

The forum accepts the reference back and applies its own internal law.

#### Example

- Indian conflict rule → refers to French law.
- French conflict rule → refers back to Indian law.
- Indian court accepts the reference and applies Indian law.

This is known as **remission**.

#### 2. Double Renvoi

Double Renvoi is also known as the **Foreign Court Theory**.

Under this theory, the forum court attempts to decide the case in the same manner as the foreign court would decide it.

Thus, the forum considers not only the foreign internal law but also the foreign country's conflict-of-law rules.

The theory may result in a complicated process of mutual reference between legal systems.

#### 3. Transmission

Transmission occurs when the foreign conflict rule does not refer the matter back to the forum but refers it to the law of a **third country**.

#### Example

- Indian law refers the dispute to French law.
- French conflict rule refers the dispute to German law.

The reference from France to Germany is called **transmission**.

### Leading Case: Forgo's Case

The most famous case relating to the doctrine of Renvoi is **In re Annesley**, commonly associated with the development of **Renvoi principles**, while **Forgo's Case (1878)** is traditionally regarded as the classic authority illustrating the doctrine of **single renvoi**.

In **Forgo's Case**, the French court was required to deal with a succession matter involving connections with another legal system. The application of the foreign conflict rules resulted in a reference back to French law.

The French court accepted the reference, and this became an important example of the doctrine of Renvoi.

## Arguments in Favour of Renvoi

1. It gives effect to the entire foreign legal system, including its conflict rules.
2. It may promote international uniformity of decisions.
3. It may prevent a court from applying foreign law in a manner different from that adopted by the foreign legal system itself.

## Arguments Against Renvoi

1. It makes Private International Law more complicated.
2. It may result in a continuous process of reference between different legal systems.
3. It creates uncertainty.
4. The doctrine may make it difficult to determine which law will finally apply.

For these reasons, many legal systems accept Renvoi only in limited situations.

## Conclusion

The **Doctrine of Renvoi** arises when the conflict-of-law rule of the forum refers a matter to foreign law and the foreign conflict rule refers the matter back to the forum or to a third country.

The main forms of Renvoi are:

- **Single Renvoi or Remission;**
- **Double Renvoi;** and
- **Transmission.**

The doctrine is important mainly in understanding the complexity of determining the applicable law in cases involving more than one legal system.

## UNIT – II

### 1. DOMICILE

#### Introduction

**Domicile** is an important concept in Private International Law. A person may have connections with different countries because of residence, nationality, business, marriage or property. However, for certain legal purposes, the law recognizes a person's **domicile** as an important connecting factor.

Domicile is particularly relevant in matters relating to:

- Personal status;
- Marriage and divorce;
- Succession and inheritance;
- Legitimacy; and
- Other matters of personal law.

#### ➤ **Meaning of Domicile**

#### Meaning

In general, **domicile** means the country or legal system which a person regards as his or her permanent home and with which the person has a permanent legal connection.



A person may temporarily live in one country but still have a domicile in another country.

Thus, **residence and domicile are not always the same thing.**

### Essential Elements of Domicile

Two main elements are generally necessary for the acquisition of a domicile of choice:

#### 1. Residence

There must be actual residence or physical presence in a particular country or place.

#### 2. Intention to Reside Permanently or Indefinitely

The person must have the intention of making that place his or her permanent home or residing there for an indefinite period.

This intention is often expressed by the Latin phrase **animus manendi**.

Therefore:

**Residence + intention to make a place a permanent or indefinite home = Domicile of Choice.**

### Domicile and Residence

A person may have several residences but, in general, only **one domicile at a particular time** for the relevant legal purpose.

| Basis     | Domicile                                                     | Residence                                 |
|-----------|--------------------------------------------------------------|-------------------------------------------|
| Meaning   | Permanent legal home                                         | Place where a person lives                |
| Intention | Intention to remain permanently or indefinitely is important | Such intention is not necessary           |
| Number    | Generally one at a time                                      | A person may have more than one residence |
| Nature    | Legal relationship with a country or legal system            | Mainly a question of physical presence    |

#### Example

A person may work in London for five years but intend to return permanently to India. In such a case, the person may be residing in England while retaining an Indian domicile, depending upon the facts and intention.

### Types of Domicile

Traditionally, domicile is classified into three main types:

1. **Domicile of Origin;**
2. **Domicile of Choice;** and
3. **Domicile of Dependence.**

The present topic mainly concerns the domicile of an **independent person**, which is generally connected with the domicile of origin and domicile of choice.

#### Domicile of Origin

A person acquires a **domicile of origin at birth**. It is assigned by law and does not depend upon the person's own choice.

The domicile of origin generally continues until it is replaced by a valid domicile of choice.

An important feature of domicile of origin is that if a domicile of choice is abandoned and no new domicile is acquired, the domicile of origin may revive.

#### ➤ Domicile of an Independent Person

##### Meaning

An **independent person** is a person who is legally capable of choosing and acquiring a domicile independently.

Such a person is not required to derive his or her domicile from another person.

Under the traditional principles of Private International Law, an independent person may acquire a **domicile of choice**.

### **Domicile of Choice**

A person acquires a domicile of choice when:

1. The person resides in a particular country; and
2. Has the intention of making that country his or her permanent or indefinite home.

Both **residence** and **intention** must exist together.

### **Example**

A, an Indian national, permanently shifts to Canada and intends to make Canada his permanent home. If the necessary conditions are satisfied, A may acquire a domicile of choice in Canada.

However, if A goes to Canada only for higher education or a temporary job and intends to return permanently to India, mere residence may not be sufficient to establish a domicile of choice.

### **Intention is a Question of Fact**

The intention to make a country one's permanent or indefinite home is determined from the circumstances of each case.

The court may consider factors such as:

- Length and continuity of residence;
- Family connections;
- Place of employment or business;
- Ownership of property;
- Statements and conduct of the person; and
- Intention regarding permanent settlement.

No single factor is always decisive.

### **Change of Domicile**

An independent person can change his or her domicile by:

1. Abandoning the previous domicile; and
2. Acquiring residence in another country with the intention of making it a permanent or indefinite home.

A mere intention to change domicile is not sufficient. Similarly, mere residence without the necessary intention is also insufficient.

Both elements must be present.

### **Abandonment of Domicile of Choice**

A domicile of choice may be abandoned when a person:

- Leaves the country; and
- Forms an intention not to continue that country as his or her permanent or indefinite home.

If the person abandons the domicile of choice without acquiring another domicile, the **domicile of origin may revive**, according to the traditional principles of Private International Law.

## Important Principles Regarding Domicile

The following principles are important:

### 1. Every Person Must Have a Domicile

The law generally recognizes that every person should have a domicile.

### 2. A Person Generally Has Only One Domicile at a Time

For the relevant legal purpose, a person cannot ordinarily have two independent domiciles at the same time.

### 3. Domicile Continues Until a New One is Acquired

An existing domicile continues until it is legally replaced by another domicile.

### 4. Residence Alone is Not Always Sufficient

For a domicile of choice, residence must generally be accompanied by the intention to reside permanently or for an indefinite period.

## Important Case Laws

### Udny v. Udny (1869)

This is a leading case on the concept of domicile. The court explained the distinction between **domicile of origin** and **domicile of choice**.

**Principle:** Domicile involves a permanent legal relationship between a person and a particular country or legal system.

### Central Bank of India Ltd. v. Ram Narain (1955)

The Supreme Court of India discussed the concept of domicile and emphasized the importance of **residence and intention** in determining whether a person has acquired a domicile of choice.

**Principle:** Mere residence in a country is not sufficient; the necessary intention to make it a permanent or indefinite home must also be established.

## Conclusion

Domicile is an important connecting factor in Private International Law. It refers to the legal relationship between a person and a particular country which is regarded as that person's permanent home.

An independent person may acquire a **domicile of choice** when two essential elements are present:

1. **Actual residence in a country**, and
2. **Intention to make that country a permanent or indefinite home.**

Therefore, while a person may have several places of residence, domicile represents a deeper and more permanent legal connection with a particular country.

## 2. THE LAW OF OBLIGATIONS: CONTRACTS

### Introduction

The law of obligations is an important part of **Private International Law**. A contractual relationship may involve more than one country. For example, the parties may belong to different countries, the contract may be made in one country and performed in another, or the subject matter of the contract may be situated abroad.

In such cases, the main problem is to determine **which law governs the contract**. This applicable law is generally known as the **proper law of the contract**.

The law relating to contracts in Private International Law mainly deals with:

1. Creation of contractual obligations;

2. General principles applicable to contracts; and
3. Determination of the proper law governing the contract.

### ➤ **Creation of Contractual Obligations**

A contractual obligation arises when two or more parties enter into a legally binding agreement.

In a contract involving a foreign element, questions may arise regarding:

- The validity of the contract;
- Capacity of the parties;
- Offer and acceptance;
- Consideration or other legal requirements;
- Formal validity of the contract; and
- The law governing the contractual relationship.

The connecting factors may include:

- Place where the contract was made;
- Place where the contract was performed;
- Domicile or residence of the parties;
- Nationality of the parties; and
- The intention of the parties regarding the applicable law.

Thus, in an international contract, the court must determine the legal system which has the closest and most real connection with the transaction.

### ➤ **General Principles of Contract**

In Private International Law, certain general principles are applied while determining the law applicable to a contract.

#### **1. Party Autonomy**

The most important principle is **party autonomy**.

The parties are generally free to choose the law that will govern their contractual relationship.

For example, an Indian company and an English company may agree that their contract will be governed by English law.

The choice must be genuine and should not be contrary to mandatory provisions of law or public policy.

#### **2. Validity of Contract**

The validity of a contract may involve questions regarding:

- Capacity of the parties;
- Consent;
- Legality of the object;
- Fraud;
- Misrepresentation; and
- Mistake.

The applicable law may depend upon the nature of the particular issue involved.

### 3. Formal Validity

The formal validity of a contract concerns the form in which the contract is made.

For example, the law may determine whether:

- The contract must be in writing;
- Particular signatures are necessary; or
- Registration or other formal requirements are required.

### 4. Performance of Contract

The law governing the contract generally regulates matters relating to:

- Rights and duties of the parties;
- Performance of contractual obligations;
- Breach of contract; and
- Remedies available to the parties.

#### ➤ Doctrine of Proper Law of Contract

#### Meaning of Proper Law

The **proper law of the contract** means the legal system which governs the contractual rights and obligations of the parties.

It determines matters such as:

- Interpretation of the contract;
- Rights and duties of the parties;
- Performance of obligations;
- Breach of contract; and
- Available remedies.

The doctrine developed to avoid the rigid application of only one connecting factor, such as the place where the contract was made.

The modern approach gives importance to the **intention of the parties and the real connection of the contract with a particular legal system**.

#### ➤ Where There is an Express Choice of Proper Law

Where the parties have expressly stated in the contract which law will govern it, that law is generally regarded as the **proper law of the contract**.

#### Example

A contract between an Indian company and a French company contains the following clause:

“This agreement shall be governed by the laws of England.”

In such a case, English law is generally the proper law of the contract.

The principle is based upon **freedom of contract and party autonomy**.

However, the chosen law may not be applied where its application would violate:

- Mandatory provisions of the forum;
- Fundamental public policy; or

- Other applicable legal restrictions.

#### Case Law:

#### **Vita Food Products Inc. v. Unus Shipping Co. Ltd. (1939)**

This is a leading case on the principle of **express choice of law**.

The court recognized that where parties have expressly and bona fide chosen a particular law to govern their contract, that choice should generally be respected.

#### ➤ **Where There is a Presumption of Proper Law**

Sometimes the contract does not contain an express clause specifying the applicable law.

In such a situation, the court may infer or presume the intention of the parties from the terms and circumstances of the contract.

This is known as an **implied choice of law**.

The court may consider factors such as:

- The language of the contract;
- The currency used;
- Place of performance;
- Place where the contract was made;
- Residence or place of business of the parties;
- Location of the subject matter; and
- Choice of court or jurisdiction clause.

#### **Example**

A contract is made and performed in India between parties carrying on business in India, and the agreement refers to Indian statutes. Even without an express choice-of-law clause, these circumstances may indicate an intention that **Indian law** should govern the contract.

Thus, the proper law may be inferred from the circumstances.

#### ➤ **Where There is No Express or Implied Choice**

Where the parties have neither expressly nor impliedly chosen the governing law, the court determines the proper law by applying the principle of the **closest and most real connection**.

The court considers all relevant circumstances to determine the legal system with which the contract has the closest connection.

Important factors include:

1. Place where the contract was made;
2. Place of performance;
3. Residence, domicile or place of business of the parties;
4. Location of the subject matter;
5. Currency of payment;
6. Language and terms of the contract; and
7. Nature and purpose of the transaction.

No single factor is necessarily decisive.

## The Three Stages for Determining Proper Law

The determination of the proper law of a contract can therefore be understood in the following order:

### 1. Express Choice

The court first examines whether the parties have expressly chosen a law.

### 2. Implied Choice

If there is no express choice, the court examines whether an intention to choose a particular law can be inferred from the contract and surrounding circumstances.

### 3. Closest and Most Real Connection

If there is neither an express nor implied choice, the court determines the legal system with which the contract has the closest and most substantial connection.

#### ➤ Present Position

The modern position in Private International Law gives primary importance to the principle of **party autonomy**.

Therefore, the usual approach is:

**Express choice → Implied choice → Closest and most real connection.**

Modern courts do not normally apply a rigid rule that the law of the place where the contract was made must always govern the contract.

Instead, the court examines the intention of the parties and the factual connections of the transaction.

In India, the principle of party autonomy in commercial and international contracts has received judicial recognition, subject to statutory limitations, jurisdictional rules and public policy.

### Important Case Laws

#### **Bonython v. Commonwealth of Australia (1951)**

The court explained that the proper law of a contract is the law of the country with which the transaction has the **closest and most real connection**, particularly where the parties have not made a choice of law.

#### **Vita Food Products Inc. v. Unus Shipping Co. Ltd. (1939)**

The Privy Council recognized the principle that parties may expressly choose the law governing their contract.

**Principle:** A genuine and lawful express choice of governing law should generally be respected.

#### **National Thermal Power Corporation v. Singer Company (1992)**

The Supreme Court of India recognized the importance of the **proper law of the contract** and party autonomy in international commercial contracts.

The Court observed that, where the parties have expressly chosen the governing law, such choice should generally be respected, subject to applicable legal limitations.

**Importance:** This is one of the leading Indian cases relating to the proper law of an international contract.

### Conclusion

The law of contracts in Private International Law deals with contractual obligations involving a foreign element. The central issue is the determination of the **proper law of the contract**.

The modern approach gives importance to the intention of the parties and follows three stages:

1. **Express choice of law;**
2. **Implied or presumed choice of law;** and

### 3. The law having the closest and most real connection with the contract.

The doctrine of proper law therefore provides flexibility and helps ensure that international contractual disputes are governed by the legal system most appropriately connected with the transaction.

## UNIT – III

### 1. FOREIGN TORTS

A **tort** is a civil wrong for which the injured person may claim a legal remedy, usually in the form of damages. When a tort is connected with more than one country, it becomes a matter of **Private International Law** and is generally referred to as a **foreign tort**.

A foreign element may arise when:

- The wrongful act is committed in one country and the damage is suffered in another;
- The parties belong to different countries;
- The parties are domiciled or resident in different countries; or
- The dispute has substantial connections with more than one legal system.

The main question in cases of foreign tort is:

**Which law should govern the tort and determine the rights and liabilities of the parties?**

Different theories have been developed to answer this question. The important theories are:

1. **Lex Fori Theory;**
2. **Lex Loci Delicti Theory;** and
3. **Proper Law or Social Environment Theory.**

#### THEORIES RELATING TO FOREIGN TORTS:

##### ➤ **The Lex Fori Theory**

#### Meaning

The expression **lex fori** means the **law of the forum**, i.e., the law of the country whose court is hearing the dispute.

According to this theory, a court should apply its own domestic law in deciding a case relating to a foreign tort.

#### Example

Suppose a tort is committed in Country A, but the case is brought before a court in Country B.

According to the **lex fori theory**, the court of Country B would apply the law of Country B to determine the liability of the parties.

#### Advantages

1. The court is familiar with its own law.
2. It avoids the difficulty of proving and applying foreign law.
3. It provides procedural convenience.

#### Disadvantages

The main weakness of this theory is that it may ignore the fact that the wrongful act and the parties may have a stronger connection with another country.

For this reason, the lex fori theory is generally considered too rigid if applied to all aspects of a foreign tort.

However, matters of **procedure** are normally governed by the law of the forum.



## ➤ The Lex Loci Delicti Theory

### Meaning

**Lex loci delicti** means the **law of the place where the tort or wrongful act was committed**.

According to this theory, the law of the country where the tort occurred should govern the dispute.

### Example

If an accident occurs in France and the injured person later brings an action before an English court, the **lex loci delicti** theory would generally point towards the application of French law.

This theory is based on the idea that persons should normally be governed by the law of the country where their acts take place.

### Advantages of Lex Loci Delicti

1. It provides a clear geographical connecting factor.
2. It creates certainty and predictability.
3. It connects the dispute with the place where the wrongful conduct occurred.
4. Persons can generally expect that their conduct will be governed by the law of the place where they act.

### Difficulties

The application of this theory may become difficult when:

- The wrongful act occurs in one country but the damage occurs in another;
- Different parts of the tort occur in different countries; or
- The parties and their relationship have a stronger connection with another legal system.

For example, in cases involving cross-border negligence, online defamation or economic loss, it may not always be easy to identify a single place where the tort occurred.

Therefore, modern Private International Law has developed more flexible approaches.

## ➤ The Proper Law or Social Environment Theory

### Meaning

According to the **proper law theory**, the applicable law should be the law of the country having the **closest and most significant connection** with the tort and the parties.

This approach does not depend exclusively on the place where the wrongful act occurred.

Instead, the court considers the entire relationship and the **social environment** in which the parties and the tort are connected.

### Factors Considered

The court may consider:

1. Place where the wrongful act occurred;
2. Place where the injury or damage occurred;
3. Domicile or residence of the parties;
4. Nationality of the parties;
5. Place where the relationship between the parties was centred; and
6. The country having the closest and most real connection with the dispute.

The theory is therefore more flexible than the strict lex loci delicti approach.

## Social Environment Theory

The **social environment theory** emphasizes that a tort should be examined in the context of the legal and social relationship surrounding the parties.

The law governing the dispute should be the law most closely connected with the environment in which the parties' relationship existed.

For example, if two persons are residents of the same country and their legal relationship is mainly connected with that country, the law of that country may have a stronger connection with their dispute, even though a particular wrongful act occurred temporarily in another country.

## The Rule of Double Actionability

Historically, English law followed the principle known as the **double actionability rule** in foreign tort cases.

According to this rule, for a foreign tort to be actionable before an English court:

1. The act must be actionable according to English law; and
2. The act must not be justifiable according to the law of the place where it was committed.

This rule was laid down in the famous case of **Phillips v. Eyre (1870)**.

The rule was later developed and modified by judicial decisions.

### Important Case:

#### Phillips v. Eyre (1870)

This is a leading case relating to foreign torts.

The court formulated the principle of **double actionability**, under which a foreign tort could generally be actionable if it satisfied the requirements of both the law of the forum and the law of the place where the tort occurred.

**Importance:** The case formed the foundation of the traditional English approach towards foreign torts.

#### Boys v. Chaplin (1971)

In this case, the House of Lords recognized that strict application of the double actionability rule could sometimes produce an unsatisfactory result.

The decision allowed a more flexible approach and recognized the possibility of applying the law that had a closer connection with a particular issue.

This case contributed to the development of the **proper law approach**.

#### Red Sea Insurance Co. Ltd. v. Bouygues SA (1995)

The Privy Council further developed the flexible exception to the traditional double actionability rule.

The Court accepted that, in an appropriate case, the law having the **most significant relationship or connection** with the particular issue could be applied.

This case strengthened the movement away from a rigid application of the double actionability rule.

## ➤ PRESENT POSITION IN ENGLISH LAW

The traditional English position was based mainly on the **double actionability rule** developed through **Phillips v. Eyre**.

However, English law gradually moved towards a more modern choice-of-law approach.

The **Private International Law (Miscellaneous Provisions) Act, 1995** replaced the traditional common law rules for many tort claims and adopted the general rule that the applicable law would normally be the law of the country in which the events constituting the tort occurred, subject to statutory exceptions.

In the modern position, many civil and commercial non-contractual obligations are governed by the **Rome II Regulation**, which generally applies the law of the country where the **damage occurs**, rather than necessarily the country where the event causing the damage occurred.

However, certain areas, including some categories of defamation and other matters, may fall outside the ordinary scope of Rome II or be governed by special rules.

### General Principle of Modern English Law

The modern approach generally emphasizes:

- The place where damage occurs;
- The closest connection with the dispute; and
- Specific statutory or regulatory rules applicable to particular categories of torts.

Thus, the rigid rule of double actionability is no longer the general modern approach for ordinary tort claims.

### ➤ PRESENT POSITION IN INDIAN LAW

India does not have a single comprehensive codified statute dealing with all questions of Private International Law relating to foreign torts.

Therefore, Indian courts deal with such issues through:

- General principles of Private International Law;
- Judicial decisions;
- Principles of territorial jurisdiction;
- Applicable Indian statutes; and
- Considerations of justice and public policy.

Traditionally, common law principles have influenced the development of Indian Private International Law. Therefore, English decisions have often been considered persuasive, though they are not automatically binding upon Indian courts.

The general approach is to examine the facts of the particular case and determine the legal system having an appropriate connection with the dispute.

Questions of **procedure** are generally governed by the **lex fori**, while the substantive rights arising from a foreign tort may require consideration of the law of the place of the tort or another law having a substantial connection with the dispute.

Thus, Indian law does not follow a completely rigid or universally applicable rule for every foreign tort. The applicable law may depend upon the nature of the tort, the place of occurrence, the connection of the parties and other relevant circumstances.

### Difference Between the Main Theories

| Basis                  | Lex Fori                      | Lex Loci Delicti                                  | Proper Law / Social Environment        |
|------------------------|-------------------------------|---------------------------------------------------|----------------------------------------|
| Meaning                | Law of the forum              | Law of the place of tort                          | Law having closest connection          |
| Main connecting factor | Place of the court            | Place where tort occurred                         | Overall relationship and circumstances |
| Nature                 | Simple but rigid              | Territorial and predictable                       | Flexible                               |
| Main advantage         | Convenient for the court      | Certainty                                         | Justice in complex cases               |
| Main limitation        | May ignore foreign connection | Difficult where events occur in several countries | Less certainty                         |

## Conclusion

A **foreign tort** is a tort involving a foreign element and raises the important question of which country's law should govern the dispute.

The three important theories are:

1. **Lex Fori** – application of the law of the court;
2. **Lex Loci Delicti** – application of the law of the place where the tort occurred; and
3. **Proper Law or Social Environment Theory** – application of the law having the closest and most significant connection with the dispute.

The historical English law followed the **double actionability rule**, but modern law has moved towards statutory and more flexible rules, particularly focusing on the place of damage and the closest connection.

In India, the law relating to foreign torts is not comprehensively codified. Indian courts generally apply principles of Private International Law while considering the territorial and factual connection of the dispute with the relevant legal system.

## 2. PRINCIPLES OF PRIVATE INTERNATIONAL LAW IN RELATION TO MARRIAGE AND MATRIMONIAL CAUSES

Marriage and matrimonial disputes frequently involve questions of **Private International Law** when the parties are connected with more than one country. For example, the marriage may be celebrated in one country, the spouses may be domiciled or resident in another country, and a matrimonial dispute may be brought before the courts of a third country.

Such cases raise important questions:

- Which court has jurisdiction?
- Which law governs the validity of marriage?
- What law applies to divorce or other matrimonial relief?
- Will a foreign divorce or matrimonial judgment be recognized?

Private International Law provides principles for resolving these conflicts.

### 1. Marriage and the Foreign Element

A marriage may involve a foreign element in several ways:

1. The spouses may have different nationalities;
2. They may be domiciled in different countries;
3. The marriage may be celebrated abroad;
4. The spouses may be residing in a foreign country;
5. Matrimonial proceedings may be instituted in another country.

The principal connecting factors used in matrimonial matters are:

- **Domicile;**
- **Nationality;**
- **Habitual residence;** and
- **Place of celebration of marriage.**

### 2. Validity of Marriage

The validity of marriage is generally divided into:

1. **Formal validity;** and

## 2. Essential or material validity.

This distinction is important in Private International Law.

### (A) Formal Validity of Marriage

Formal validity relates to the **form and ceremony** of marriage.

It includes matters such as:

- Mode of celebration;
- Marriage ceremony;
- Registration;
- Witnesses; and
- Other formal requirements.

The general principle is expressed by the maxim:

#### **Lex loci celebrationis**

It means **the law of the place where the marriage is celebrated**.

Thus, the formal validity of a marriage is generally determined according to the law of the country where the marriage takes place.

#### **Example**

If an Indian couple validly performs a marriage in England according to the formal requirements of English law, the formal validity of the marriage will generally be determined by the law of England as the place of celebration.

## 3. Essential or Material Validity of Marriage

Essential validity relates to the **capacity and legal eligibility of the parties to marry**.

It includes questions such as:

- Age and capacity;
- Existing marriage;
- Prohibited degrees of relationship;
- Mental capacity;
- Consent; and
- Other conditions necessary for a valid marriage.

Traditionally, such questions have been connected with the **personal law or domicile of the parties**.

Therefore, the essential validity of marriage may depend upon the law governing the personal status of each spouse.

## 4. Domicile and Marriage

Domicile plays an important role in Private International Law relating to marriage and matrimonial causes.

The **domicile of the parties** may be relevant in determining:

- Capacity to marry;
- Jurisdiction of courts;
- Applicable matrimonial law; and
- Recognition of foreign decrees.

Traditionally, English Private International Law gave considerable importance to domicile, particularly in matters relating to divorce.

However, modern legal systems increasingly consider **habitual residence** and other connecting factors.

## 5. Matrimonial Causes

The expression **matrimonial causes** includes proceedings relating to:

- Divorce;
- Judicial separation;
- Nullity of marriage;
- Restitution of conjugal rights;
- Custody of children; and
- Other matrimonial reliefs.

When such proceedings involve a foreign element, the court must determine its jurisdiction and the law applicable to the dispute.

## 6. Jurisdiction in Matrimonial Matters

A court must have legal jurisdiction before it can decide a matrimonial dispute.

Jurisdiction may depend upon factors such as:

- Domicile of the spouses;
- Residence or habitual residence;
- Place where the marriage was celebrated; and
- Statutory provisions applicable to the parties.

In India, matrimonial jurisdiction is also governed by the relevant personal and matrimonial statutes, such as the **Hindu Marriage Act, 1955** and the **Special Marriage Act, 1954**.

Therefore, the question of jurisdiction must be determined according to the applicable statutory provisions and principles of Private International Law.

## 7. Divorce and Foreign Divorce Decrees

An important issue in Private International Law is the recognition of a divorce granted by a foreign court.

A person may obtain a divorce in a foreign country, but the question may arise whether that decree will be recognized in India.

In India, the recognition of foreign judgments is generally governed by **Section 13 of the Code of Civil Procedure, 1908**.

A foreign judgment may not be recognized if it falls within the exceptions provided under Section 13.

For example, a foreign judgment may not be conclusive if:

- It was not pronounced by a court of competent jurisdiction;
- It was not given on the merits of the case;
- The proceedings were opposed to principles of natural justice;
- It was obtained by fraud; or
- It sustained a claim founded on a breach of Indian law.

**Important Case:**

### Satya v. Teja Singh (1975)

This is an important Supreme Court case relating to foreign divorce decrees.

In this case, the Court refused to recognize a foreign divorce decree obtained on the basis of a jurisdiction that was not genuinely connected with the parties.

The Court emphasized that a person cannot obtain a foreign decree by creating an artificial or fraudulent connection with a foreign jurisdiction.

**Principle:** A foreign matrimonial decree must satisfy the requirements of competent jurisdiction and other conditions necessary for recognition in India.

### Y. Narasimha Rao v. Y. Venkata Lakshmi (1991)

This is a landmark case on the recognition of foreign divorce decrees in India.

The Supreme Court laid down important principles regarding when a foreign matrimonial judgment may be recognized.

The Court held that, where the marriage is governed by Indian matrimonial law, a foreign court's judgment must generally be based upon grounds recognized under the applicable matrimonial law and must satisfy the requirements of jurisdiction and natural justice.

The Court also emphasized that a decree obtained without proper participation or opportunity to contest may not be recognized.

**Importance:** The case is a leading authority on the recognition of foreign matrimonial judgments in India.

## 8. Recognition of Foreign Marriages

A marriage validly celebrated in a foreign country may generally be recognized in another country if:

1. The marriage was formally valid according to the law of the place of celebration; and
2. The parties possessed the necessary capacity under the applicable personal law.

However, recognition may be refused if the marriage is contrary to the **public policy** or mandatory law of the forum.

## 9. Nullity of Marriage

A marriage may be declared null or void where essential legal conditions are not fulfilled.

Questions relating to nullity may involve:

- Lack of capacity;
- Existing marriage;
- Prohibited relationship;
- Absence of valid consent; or
- Failure to comply with essential conditions of marriage.

In cases involving a foreign element, Private International Law determines the appropriate connecting law for deciding these issues.

## 10. Present Position in India

India does not have a single comprehensive statute dealing with every aspect of Private International Law relating to marriage and matrimonial causes.

The law is derived from:

- Personal laws and matrimonial statutes;
- The Code of Civil Procedure, 1908;

- Judicial decisions; and
- General principles of Private International Law.

The recognition of foreign matrimonial judgments is particularly influenced by **Section 13 of the CPC** and the principles laid down by the Supreme Court.

Indian courts generally examine:

1. Whether the foreign court had competent jurisdiction;
2. Whether the judgment was given on merits;
3. Whether the parties were given a proper opportunity to present their case;
4. Whether the judgment was obtained by fraud; and
5. Whether the judgment is consistent with Indian law and public policy.

### Important Principles

The principles of Private International Law relating to marriage may be summarized as follows:

#### 1. Formal Validity

Generally governed by the **law of the place where the marriage is celebrated (lex loci celebrationis)**.

#### 2. Essential Validity

Generally connected with the **personal law or domicile of the parties**, particularly regarding their capacity to marry.

#### 3. Jurisdiction

Depends upon the applicable statute and connecting factors such as domicile, residence or other legally recognized connections.

#### 4. Foreign Divorce

A foreign divorce decree is not automatically valid in India. Its recognition depends upon the principles governing foreign judgments, especially **Section 13 of the CPC**.

#### 5. Public Policy and Natural Justice

Even where a foreign judgment exists, Indian courts may refuse recognition where it violates principles of natural justice, Indian law or public policy.

### Conclusion

Private International Law plays an important role in cases involving **foreign marriages and matrimonial causes**. It determines the jurisdiction of courts, the law applicable to the validity of marriage, and the recognition of foreign matrimonial judgments.

The two important principles relating to the validity of marriage are:

- **Lex loci celebrationis** for formal validity; and
- **Personal law or domicile** for questions relating to essential validity and capacity.

In India, the recognition of foreign matrimonial judgments is mainly governed by **Section 13 of the Code of Civil Procedure, 1908**, along with the principles laid down in important cases such as **Satya v. Teja Singh** and **Y. Narasimha Rao v. Y. Venkata Lakshmi**.

Thus, Private International Law seeks to balance respect for foreign legal systems with the protection of domestic law, natural justice and public policy.

## UNIT – IV

### 1. FOREIGN JUDGMENTS



In the modern world, disputes frequently involve persons, property, transactions, or events connected with more than one country. A court in one country may pass a judgment against a person who has property or assets in another country. In such a situation, an important question arises:

### **Will the judgment of a foreign court be recognized and enforced in India?**

The law relating to **foreign judgments and foreign decrees** is therefore an important part of Private International Law.

In India, the principal provisions relating to foreign judgments and decrees are contained in the **Code of Civil Procedure, 1908 (CPC)**, particularly:

- **Section 2(6)** – Definition of foreign court;
- **Section 2(5)** – Definition of foreign court decree;
- **Section 13** – When a foreign judgment is conclusive;
- **Section 14** – Presumption regarding foreign judgments; and
- **Section 44A** – Execution of decrees passed by courts in reciprocating territories.

The recognition of foreign judgments is based on the principles of **international comity, justice, reciprocity, finality of litigation and respect for judicial decisions**.

#### **Meaning of Foreign Judgment**

According to **Section 2(6) of the Code of Civil Procedure, 1908**, a **foreign judgment** means:

##### **The judgment of a foreign court.**

A **foreign court**, under Section 2(5), means a court situated outside India and not established or continued by the authority of the Central Government.

Therefore, a decision given by a competent court outside India may be treated as a foreign judgment for the purposes of the CPC.

However, a foreign judgment is not automatically enforceable in India. Its recognition and enforcement depend upon the conditions prescribed by Indian law.

### **➤ BASIS OF RECOGNITION OF FOREIGN JUDGMENT**

The recognition of foreign judgments is based upon several important principles.

#### **1. Principle of International Comity**

The principle of **comity of nations** means mutual respect and recognition between different legal systems.

Courts of one country may recognize judgments of foreign courts not because they are bound by the foreign sovereign, but because recognition promotes:

- International cooperation;
- Justice;
- Certainty in legal relations; and
- Respect for judicial proceedings.

However, comity does not mean that every foreign judgment must automatically be accepted. Recognition is always subject to the conditions imposed by the law of the country where recognition is sought.

#### **2. Principle of Finality of Litigation**

One of the major reasons for recognizing foreign judgments is the principle that litigation should eventually come to an end.

If the same dispute has been properly decided by a competent foreign court, the parties should not ordinarily be allowed to reopen the same matter repeatedly.

This principle promotes:

- Finality;
- Judicial efficiency;
- Avoidance of unnecessary litigation; and
- Stability of legal rights.

### 3. Competence of the Foreign Court

A foreign judgment can normally be recognized only when it is passed by a **court of competent jurisdiction**.

The foreign court must have jurisdiction over the parties or the subject matter according to the principles recognized by Indian law.

A judgment passed by a court lacking competent jurisdiction will not be conclusive in India.

Thus, jurisdiction is one of the most important requirements for recognition.

### 4. Decision on Merits

A foreign judgment should generally be based upon a proper consideration of the dispute.

A judgment which has not been given **on the merits of the case** may not be conclusive under Indian law.

The requirement ensures that the foreign court has genuinely considered the dispute rather than merely passing a formal or technical order.

### 5. Principles of Natural Justice

Recognition of a foreign judgment depends upon the observance of **natural justice**.

The proceedings should provide:

- Proper notice to the parties;
- A fair opportunity to present the case; and
- An impartial and fair procedure.

If the proceedings are opposed to natural justice, the foreign judgment may not be recognized in India.

### 6. Absence of Fraud

A judgment obtained by fraud cannot claim recognition merely because it was passed by a foreign court.

Fraud may affect:

- The jurisdiction of the foreign court;
- The proceedings; or
- The merits of the decision.

Therefore, a foreign judgment obtained by fraud is not conclusive under Section 13 CPC.

### 7. Consistency with Indian Law

Recognition may also be refused where the foreign judgment sustains a claim founded on a breach of Indian law.

Similarly, Indian courts will not enforce a foreign judgment which is contrary to the fundamental principles of Indian law or public policy.

## Section 13 CPC: When is a Foreign Judgment Conclusive?

**Section 13 of the Code of Civil Procedure, 1908** is the central provision relating to the recognition of foreign judgments in India.

It provides that a foreign judgment shall be **conclusive** as to any matter directly adjudicated between the same parties or between parties under whom they claim under the same title.

However, this rule is subject to six exceptions.

A foreign judgment is **not conclusive** in the following cases:

### (a) Where It Has Not Been Pronounced by a Court of Competent Jurisdiction

The foreign court must have jurisdiction according to the principles recognized by Indian law.

If the court did not have competent jurisdiction, the judgment is not conclusive.

### (b) Where It Has Not Been Given on the Merits of the Case

The foreign court must have actually considered the dispute and decided it on its merits.

A decision passed merely because of a technical default or without examination of the substantive issues may not satisfy this requirement.

### Case Law:

#### **International Woollen Mills v. Standard Wool (U.K.) Ltd. (2001)**

The Supreme Court considered the meaning of a judgment given **on merits**.

The Court emphasized that even an ex parte judgment may be regarded as being on merits if the court has considered the evidence and the case properly. Mere absence of one party does not automatically mean that the judgment is not on merits.

### (c) Where It Appears on the Face of the Proceedings to Be Founded on an Incorrect View of International Law or a Refusal to Recognize Indian Law

A foreign judgment may not be conclusive if it is based upon:

- An incorrect view of international law; or
- A refusal to recognize the law of India in a case where Indian law is applicable.

This provision protects the proper application of Indian law in cases where it should legitimately govern the dispute.

### (d) Where the Proceedings Are Opposed to Natural Justice

The proceedings must follow the basic principles of fairness.

A foreign judgment may be refused recognition if:

- Proper notice was not given;
- A party was denied an opportunity to be heard; or
- The procedure was fundamentally unfair.

The focus is primarily on the **fairness of the procedure**, rather than whether the foreign court reached the correct conclusion.

### (e) Where It Has Been Obtained by Fraud

A foreign judgment obtained by fraud is not conclusive.

Fraud destroys the validity of the judicial process and may relate either to the jurisdiction of the court or to the merits of the decision.

### (f) Where It Sustains a Claim Founded on a Breach of Any Law in Force in India

Indian courts will not recognize a foreign judgment that enforces or supports a claim contrary to Indian law.

Thus, recognition is subject to the fundamental legal principles applicable in India.

### Important Case:

#### **R. Viswanathan v. Rukn-ul-Mulk Syed Abdul Wajid (1963)**

The Supreme Court explained that a foreign judgment is recognized in India subject to the requirements of **Section 13 CPC**.

The Court emphasized that the jurisdiction of a foreign court must be examined from the perspective of the principles of Private International Law recognized by Indian courts.

**Principle:** A foreign judgment is not conclusive merely because it was passed by a foreign court; it must satisfy the requirements of Section 13.

#### **Y. Narasimha Rao v. Y. Venkata Lakshmi (1991)**

This landmark case is particularly important regarding **foreign matrimonial judgments**.

The Supreme Court held that a foreign matrimonial judgment may not be recognized in India if the foreign court lacked jurisdiction according to principles recognized by Indian law or if the decree was based upon a ground not recognized by the law governing the marriage.

The Court also emphasized the importance of:

- Competent jurisdiction;
- Natural justice; and
- A decision consistent with the applicable law.

### ➤ **EFFECT OF RECOGNITION OF FOREIGN JUDGMENTS IN INDIA**

When a foreign judgment satisfies the conditions of Section 13 CPC, it becomes **conclusive** with respect to matters directly adjudicated between the parties.

This means that the same issue cannot ordinarily be reopened and litigated again between the same parties.

Recognition of a foreign judgment may therefore have the following effects:

#### **1. Finality Between the Parties**

The rights and liabilities determined by the foreign court are generally treated as finally decided, subject to the exceptions under Section 13.

#### **2. Prevention of Re-litigation**

A party cannot ordinarily bring a fresh suit in India to reopen a matter that has already been conclusively decided by a competent foreign court.

#### **3. Creation or Recognition of Legal Rights**

The foreign judgment may establish rights and obligations between the parties which Indian courts may recognize.

For example, a valid foreign judgment may determine rights relating to a contract, property, status, or other civil matters.

### **Section 14 CPC: Presumption Regarding Foreign Judgment**

Section 14 provides that an Indian court shall presume, upon production of a certified copy of a foreign judgment, that the foreign judgment was pronounced by a court of competent jurisdiction.

However, this presumption is **rebuttable**.

The party challenging the judgment may produce evidence showing that the foreign court did not have competent jurisdiction.

Thus, Section 14 creates a presumption in favour of jurisdiction but allows that presumption to be challenged.

### ➤ **FINALITY OF THE FOREIGN JUDGMENT**

The concept of finality is essential for the recognition of a foreign judgment.

A judgment should generally represent a final determination of the rights of the parties.

The purpose of this requirement is to ensure that a matter is not treated as conclusively decided when the foreign proceedings are still incomplete or subject to further determination.

However, the meaning of finality depends upon the nature of the judgment and the legal system in which it was delivered.

A judgment may be final even though an appeal is possible under the foreign legal system, depending upon whether it represents a conclusive determination by the court concerned.

### **Conclusiveness Under Section 13**

The finality of a foreign judgment in India is closely connected with the concept of **conclusiveness under Section 13 CPC**.

If the judgment satisfies Section 13 and does not fall within any of its exceptions, it is treated as conclusive regarding matters directly adjudicated between the parties.

Therefore:

**Finality does not mean that every foreign decision is automatically enforceable; it means that a qualifying foreign judgment may be treated as conclusively determining the rights of the parties.**

### **Res Judicata and Foreign Judgments**

The principle of finality is closely related to the doctrine of **res judicata**, which prevents the same matter from being repeatedly litigated.

Although the rules concerning foreign judgments are specifically governed by Sections 13 and 14 CPC, the underlying policy is similar: there should be an end to litigation.

A foreign judgment satisfying the requirements of Section 13 may therefore prevent unnecessary re-examination of matters already finally decided.

### **➤ EXECUTION OF FOREIGN DECREES**

Recognition and execution are not exactly the same.

#### **Recognition**

Recognition means that an Indian court accepts the legal effect or conclusiveness of a foreign judgment.

#### **Execution**

Execution means the process by which the decree is actually enforced against the property or assets of the judgment-debtor.

The execution of foreign decrees in India mainly depends upon whether the decree has been passed by a court in a **reciprocating territory**.

### **Section 44A CPC: Execution of Foreign Decrees from Reciprocating Territories**

Section 44A provides a special procedure for the execution of certain foreign decrees in India.

Where a certified copy of a decree of a **superior court of a reciprocating territory** is filed in a competent District Court in India, the decree may be executed as if it had been passed by that District Court.

The party seeking execution must also provide a certificate showing the extent to which the decree has been satisfied or adjusted.

### **Meaning of Reciprocating Territory**

A **reciprocating territory** is a country or territory which has been declared as such by the Central Government through an official notification.

The Central Government may also specify the superior courts of that territory for the purpose of Section 44A.

The principle behind Section 44A is **reciprocity**, meaning that judgments and decrees of Indian courts may similarly receive recognition in the other territory under the applicable legal arrangement.

### Conditions for Execution Under Section 44A

For direct execution under Section 44A:

1. There must be a decree of a superior court of a reciprocating territory;
2. A certified copy of the decree must be filed before the competent District Court in India;
3. The required certificate regarding satisfaction or adjustment must be produced; and
4. The decree must not fall within any of the exceptions under Section 13 CPC.

Therefore, even a decree from a reciprocating territory cannot be executed if it is not conclusive under Section 13.

### Decrees from Non-Reciprocating Territories

If a foreign judgment or decree is passed by a court in a **non-reciprocating territory**, it cannot ordinarily be directly executed in India under Section 44A.

The successful party must generally file a **fresh suit upon the foreign judgment** before an Indian court having jurisdiction.

The foreign judgment may then operate as evidence of the claim, subject to the requirements of Section 13 CPC.

Thus, there are two broad methods:

#### 1. Reciprocating Territory

→ Direct execution under **Section 44A CPC**, subject to Section 13.

#### 2. Non-Reciprocating Territory

→ A fresh suit must generally be instituted in India based upon the foreign judgment or the original cause of action.

### Important Case:

#### Bank of Baroda v. Kotak Mahindra Bank Ltd. (2020)

The Supreme Court considered issues relating to the execution and enforcement of foreign decrees under Section 44A CPC.

The decision is important for understanding the scope and procedure of enforcement of foreign decrees in India.

**Principle:** The enforcement mechanism under Section 44A operates subject to the requirements and limitations imposed by Indian law.

### Difference Between Recognition and Execution

| Basis          | Recognition                                          | Execution                                                   |
|----------------|------------------------------------------------------|-------------------------------------------------------------|
| Meaning        | Acceptance of the legal effect of a foreign judgment | Actual enforcement of the decree                            |
| Purpose        | Determines conclusiveness of rights                  | Secures compliance with the decree                          |
| Main Provision | Sections 13 and 14 CPC                               | Section 44A CPC and execution provisions                    |
| Result         | Foreign judgment may be accepted as conclusive       | Property or assets may be proceeded against for enforcement |

### Conclusion

Foreign judgments are an important subject of Private International Law because legal disputes increasingly involve parties and transactions connected with different countries. Indian law recognizes the need to respect foreign judicial decisions, but such recognition is not automatic.

The main rule is contained in **Section 13 of the Code of Civil Procedure, 1908**, under which a foreign judgment is conclusive unless it falls within one of the six statutory exceptions.

The recognition of foreign judgments in India is based upon:

- **Competent jurisdiction;**
- **Decision on merits;**
- **Natural justice;**
- **Absence of fraud;**
- **Compliance with Indian law; and**
- **International comity and reciprocity.**

For execution, **Section 44A CPC** provides a simplified mechanism for decrees passed by superior courts of notified reciprocating territories. Decrees from non-reciprocating territories generally require the institution of a fresh suit in India.

Thus, the law relating to foreign judgments attempts to maintain a balance between **respect for foreign judicial decisions and protection of the legal principles, jurisdiction and public policy of India.**

*~Abhishek Chaudhary*